

you get past those five decisions when you set up your accounts, it's pretty much *set and forget* for the next few decades.^{[248](#)}

Therein lies the true genius of indexing: Everything else involves cognitive errors common to human decision-making. Whether it's stock selection or market timing or when to sell, these decisions invariably are suboptimal. Avoid behavioral problems and eliminate the vast majority of mistakes, and once again you are guaranteed to do better than almost everybody else.

Average becomes outperformance

Howard Marks astutely observes the long-term advantage of being average: You avoid the bad years that negatively impact compounding. By finishing in the middle among managers year after year and avoiding common mistakes, you will gradually work your way into the top quartile of all performers. Average performance turns into outperformance over time.

The counterintuitive reason is that it's not the excellent years that lead to this outcome, but rather the avoidance of disastrous down years. It's not that you need to be smart; as Ellis and Munger inform us, fewer unforced errors and being less stupid leads to enormous wins. Take what the market gives you year after year while others occasionally beat the market, often fail to do so, and occasionally blow up. Over time, merely earning market returns (beta) bubbles to the top of the performance ranks.

Simplicity

All other things being equal, simplicity beats complexity every time. A portfolio of passive low-cost indexes should make up the core of your holdings. If you want to do something more complicated, you need a compelling reason.

There are lots of things we do at my firm that go beyond this core philosophy, but only when the upsides outweigh the downsides *significantly*. We will discuss various approaches beyond indexing as your